

BUSINESS REQUIREMENTS DOCUMENT

BRD : Executive Summary

Project Name: Inventra - Inventory Management System

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Date: 1 March 2026

Project Duration: 1 month (Design, Development, Testing & Deployment)

Estimated Budget: ₹1,21,500

Version : 1.0

Business Case Summary

Small-to-medium building material retailers often depend on manual billing, paper records, and basic calculations, which leads to errors, stock mismanagement, and inefficiencies. Existing digital solutions are either too complex or too limited for their needs.

The proposed Inventory Management System provides automated billing, accurate GST calculation, real-time inventory tracking, and centralized customer records. By replacing manual processes, the system improves accuracy, operational efficiency, and overall business performance.

Expected Business Value

- Target: 500 paid retail shop subscriptions in Year 1
- Revenue: ₹999/month × 500 shops = ₹4,99,500/month → ₹59.9 Lakhs ARR (~₹60L)
- Break-even: 30 shops cover annual operating cost (~₹3.5L) → Profit begins after Month 2–3
- ROI: 800%+ potential over 3 years with regional expansion & upsell modules (multi-location, supplier management)

BRD : Business Problem

Problem Statement

Small-to-medium building materials retail businesses rely heavily on manual processes such as handwritten billing, paper-based inventory registers, and physical customer record books. These traditional methods lead to frequent calculation errors, stock mismanagement, data duplication, delayed reporting, and compliance risks. As the volume of transactions grows, managing daily operations becomes increasingly complex, inefficient, and prone to financial losses.

Pain Points Identified

1. Billing & GST Calculation Errors

Manual billing increases the likelihood of:

- Incorrect total bill amounts
- Wrong GST percentage application
- Miscalculated tax values

These errors reduce customer trust and create compliance issues during GST filing.

2. Lack of Real-Time Inventory Visibility

Retailers face difficulties in:

- Accurately tracking current stock levels
- Identifying fast-moving and slow-moving materials
- Preventing stock-outs and overstocking

This leads to lost sales opportunities and unnecessary capital block

3. Data Redundancy & Record Mismanagement

Paper-based systems result in:

- Duplicate customer records
- Misplaced, damaged, or lost documents

This causes data inconsistency and inefficiency in record retrieval.

4. Inefficient GST Reporting & Compliance

During GST filing periods:

- Tax summaries are calculated manually
- Significant time is spent compiling sales data
- Risk of penalties increases due to incorrect reporting

5. Limited Business Insights

Without digital tracking:

- Sales trends are not analyzed
- Profit margins remain unclear
- Demand forecasting is inaccurate

This limits strategic decision-making and business growth.

6. Time-Consuming Daily Operations

Manual processes lead to:

- Increased checkout time per customer
- Higher staff workload
- Overall operational inefficiencies

Targeted Users

User Type	Description
Small Retail Shop Owners	Manage billing, inventory, and GST compliance
Medium-Sized Retail Businesses	Require structured sales and stock tracking
Store Managers	Monitor daily operations and stock levels
Billing / Accounts Staff	Generate invoices and handle GST calculations
Building Material Dealers	Sell cement, steel, pipes, hardware, etc.

Market gaps

Area	Current Situation	Identified Gap
Complex and Expensive ERP Systems	Available ERP solutions are costly for small businesses, require technical training, and include unnecessary enterprise-level features.	Small retailers need a simple, affordable, and easy-to-use system without over-engineered functionality.
Limited Accessibility & Usability	Many retailers are not highly tech-savvy, prefer simple interfaces, and require minimal training to use systems effectively.	The market lacks an intuitive system with a minimal learning curve designed specifically for non-technical users.
Lack of Integrated Reporting & Business Insights	Existing small tools offer limited or no analytics, provide minimal sales performance insights, and do not support effective decision-making.	A unified system combining billing, inventory, GST, and basic analytics in a single dashboard is missing in this sector.

BRD: Business Objectives

Primary Objectives

- **Operational Efficiency:** Reduce billing time per transaction by **40%** .
- **Error Reduction:** Decrease manual calculation and GST errors by **95%**.
- **Inventory Accuracy:** Achieve **95% real-time stock accuracy** through automated inventory tracking.
- **Process Digitization:** Convert **100% of billing and customer records** from paper-based to digital format.
- **GST Compliance:** Ensure automated GST calculation and report generation to achieve **zero compliance penalties**.

Secondary Objectives

- **Customer Satisfaction:** Improve customer service speed and billing transparency, targeting **40% improvement in customer retention**.
- **Business Growth Support:** Enable data-driven decision-making through sales and inventory reports to increase revenue by **10% annually**.
- **User Adoption:** Achieve **80% active system usage** among staff.
- **Scalability:** Ensure the system supports increasing product categories and transaction volume without performance degradation.

Success Metrics Dashboard

The system will track and measure:

- Daily, Weekly, and Monthly Sales Reports
- GST Summary & Tax Reports
- Inventory Stock Levels & Low-Stock Alerts
- Billing Time per Transaction
- Error Rate in Invoice Generation
- Customer Purchase Frequency
- Revenue Growth Trends

BRD : Scope & Success

In Scope

- User authentication & role-based access (Admin, Staff)
- Product management (add, edit, delete building materials)
- Category management (cement, steel, pipes, hardware, etc.)
- Billing & invoice generation
- Real-time inventory tracking
- Customer record management
- Daily, weekly & monthly sales reports
- GST summary reports
- Dashboard with business insights

Out of Scope

- Native mobile application (Android/iOS)
- Managing multiple shop locations from one single system.

- Integration with external accounting software (e.g., Tally)
- Advanced analytics with AI-based forecasting
- Barcode/QR hardware integration
- Supplier/vendor management module

Success Criteria

- MVP Launch: System becomes operational within 1 month..
- Performance: Invoice generation time under 5 seconds.
- Error Reduction: 90% reduction in billing & GST calculation errors.
- Inventory Accuracy: At least 60% improvement in stock tracking accuracy.
- User Adoption: 500+ active retail businesses within first year.